Cambridge (CIE) A Level Business

Your notes

Quality Management (A Level)

Contents

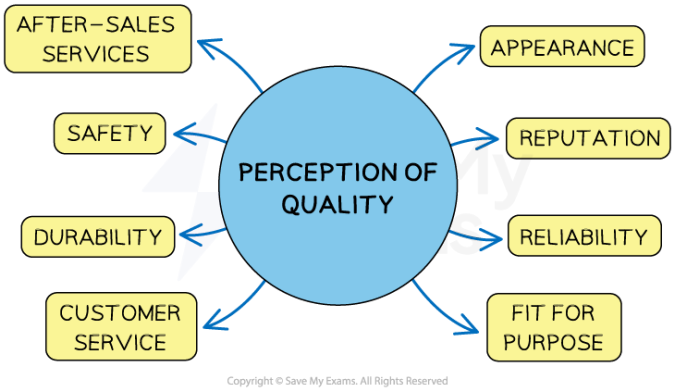
- Methods of Quality Management

Your notes

The importance of quality

- Quality considers the characteristics and **features** of a product that **satisfy the needs of customers**
- Businesses need to **maintain a level of quality** that attracts and retains customers if they want to remain successful
- Customer **perceptions of quality** are related to a range of product or business features

Factors that influence quality perception



The perception of quality is influenced by appearance, durability and the quality of customer service

- Customers may consider products or services to be of **good quality** if they
  - **Look good** and are sold by a **reputable** business or brand
  - Are **reliable** and **durable**
  - Are **safe** and **fit for purpose**
  - Receive good customer service, including **after-sales service**
- If quality is **not maintained,** then businesses may be at **risk** of
  - Losing their competitive advantage and customers to other brands that offer better quality goods or services
  - Experiencing **higher costs** due to having to replace faulty or defective goods
  - Gaining a **poor reputation** as customers spread poor reviews about the business to others
- In some countries **laws protect consumers** so businesses need to ensure that the products they sell are free of faults or defects to **avoid harming customers or their reputation**

Quality control

- Quality control is a traditional method of **checking quality at the end of the production process** by using **quality inspectors** to find faults
- It is not possible to **achieve perfection** in every production process
  - E.g. there will always be some variation in terms of materials used, production skills applied or reliability of the finished product

The impact of quality control on business

1. Reduces risk of poor-quality products reaching customers

- Helps maintain the business's reputation and avoid customer complaints

2. Wasted output may increase

- Faulty items are found after production, so time and materials may already be wasted

3. Higher inspection costs

- Employing inspectors adds to labour costs, especially in large-scale operations

4. Low training costs

- Limited staff training is needed as inspectors check quality rather than the employees themselves

5. Less responsibility for workers

- Employees may depend on inspectors instead of taking ownership of quality themselves

6. Inconsistent quality improvements

- Problems are found but not always prevented, so the same issues may continue to occur

Quality assurance

- Quality assurance involves inspecting the quality of production **throughout** the process
  - Workers **check their own work** and, sometimes, the work of others throughout the **various stages of production**
- Some business take a **whole-business** approach to quality assurance, with systems such as **quality circles**, **benchmarking** and **total quality management**

The impact of quality assurance on business

Impact	Explanation
Fewer errors and waste	▪ Mistakes are prevented during production, reducing scrap and rework costs

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	▪ The **cause of defects** is the focus, so **future quality issues** may be prevented
Improved customer satisfaction	▪ Products are consistent, leading to fewer returns and better reviews
Workers take more responsibility	▪ Skilled staff feel involved and are expected to meet quality standards themselves
Training and systems required	▪ Employees must be trained and procedures created, which takes time and investment
Can improve brand reputation	▪ Reliable, high-quality products help build a stronger, more trusted brand

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Total Quality Management (TQM)

- Total Quality Management (TQM) places **quality at its core** and makes **every worker responsible for quality** throughout the business
  - Quality is considered from the **customer's perspective**
  - **Inefficiency** and **wastage is removed** from **every** business activity or function, including those that are not directly related to production

Advantages and disadvantages of TQM

Advantages	Disadvantages

▪ **Improved efficiency**
  ▪ Reduces waste and mistakes by focusing on quality throughout the business, leading to higher profits
▪ **Positive culture**
  ▪ Builds a workplace where everyone aims for high standards and continuous improvement
	▪ **Commitment and training**
	  ▪ Requires all employees to be fully committed and regularly trained to maintain standards
	▪ **Strong leadership needed**
	  ▪ Managers must monitor progress closely and lead by example to keep TQM effective

Case Study

The impact of TQM at Nestlé

- Nestlé is one of the largest food and beverage companies in the world, with operations in over 180 countries

- With such a large global footprint, consistent product quality and customer trust are essential to its success

Why Nestlé introduced TQM

- To maintain **consistent quality** across its many factories and brands
- To improve **efficiency** in production and reduce waste
- To respond better to **customer expectations** regarding food safety, nutrition, and quality

What changes were made

- Nestlé introduced a global quality management system based on **TQM principles**, including **continuous improvement (Kaizen)**
- It developed a company-wide culture of quality with the slogan: **"Quality is the foundation of our company"**
- It invested heavily in **employee training**, so every worker understood their role in maintaining high standards
- It used **customer feedback, regular audits** and **process checks** to improve quality at every stage, from sourcing its raw materials to final packaging

Impact on the business

Area	Impact
Product quality	▪ Improved consistency and food safety across all international markets
Operational efficiency	▪ Reduced production delays, waste, and costs related to product recalls
Customer trust	▪ Nestlé maintained a strong brand reputation, even in highly competitive markets
Employee engagement	▪ Staff across all levels became more involved in problem-solving and quality improvement

The importance of benchmarking

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- **Benchmarking** involves a business **comparing its quality and performance** with market leaders within the same industry

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1. Internal benchmarking

- Comparison of different functions within a business, such as finance or marketing
  - **Performance**
    - Comparison of key performance indicators such as labour productivity or labour turnover rates
  - **Process**
    - Comparison of business operations and processes such as call centre queue times or delivery times

2. External benchmarking

- Comparison of key performance indicators, such as the number of product recalls, against those of market leaders in an industry

Evaluating benchmarking

Advantages	Disadvantages
▪ Helps identify areas where businesses can improve their performance by **learning from the best practice** of other successful companies ▪ Can identify **innovative practices and processes** used by competitors ▪ Can support the setting of **realistic performance goals** by comparing current performance with industry standards ▪ Workers may feel a **sense of pride and motivation** when they see their employer striving to be a leader in the industry	▪ **Differences in metrics** used to measure performance affects the comparability of benchmarking data ▪ Best practices from market leaders **may not always be directly applicable** to the needs of a specific business ▪ Small businesses may **struggle to find the time and resources** for data collection and analysis required for benchmarking ▪ Focusing too much on benchmarking against competitors may lead to a **narrow view of success** that ignores ideas from other sources

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